CHAPTER 9

Specific Standards for Bond Investment (*Continued*)

THE PROVISIONS OF THE ISSUE

Under this heading come such features as the security of the bonds, the conditions affecting interest payments, and the date of maturity. Conversion and similar privileges, specified in the indenture, are, of course, important in themselves, but they do not enter into the determination of standards for the selection of *fixed-value* investments.

Under the New York statute, only bonds secured by mortgage are eligible in the public-utility group.[1] However, debenture (unsecured) railroad bonds are admitted, provided the earnings and dividend record meet stiffer requirements than are set forth for mortgage issues. The statute also permits the purchase of income bonds (i.e., those on which the obligation to pay interest is dependent upon earnings) on the same basis as debentures.

Obsolete and Illogical Restrictions. In our opinion this set of restrictions is quite out of date and illogical. In view of our emphatic argument in Chap. 6 against attaching predominant weight to specific security, it must be clear that we do not favor the exclusion of any group of unsecured bond issues per se, or even the establishment of any *sharply defined* standards or requirements which favor secured bonds over debentures.

If a company has only one bond issue, it would seem to make little difference whether this is a first mortgage or a debenture, provided the latter is protected against the placing of future issues ahead of it. Needless to say, a debenture bond preceded by a first mortgage is not so attractive as the first-

[1] The specific provisions of the statute are now referred to, without regard to the discretionary powers of the Banking Board to waive any or all of them (*supra* Chap. 8).